EXECUTIVE BOARD PROPOSAL

TM Pick n Pay Express

Evolving Click & Collect into Door-to-Door delivery

Prepared for the Executive Board · TM Pick n Pay Zimbabwe & Meikles Limited

Monetising the digital infrastructure you already own

The foundation

tmpnponline.co.zw and the dedicated app are already live, running localized Click & Collect across the estate.

The optimization gap

Collection demands transport, fuel and time. Diaspora buyers still pay Malayitsha vans purely for doorstep convenience.

Our value proposition

A online shopping click-to-deliver platform plus a decentralised last-mile network turns 74+ branches into on-demand fulfilment nodes.

Bypassing physical logistics friction

Current system — Click & Collect

Local Shopper → Web / app order → Recipient must travel → Urban branches only

The evolution — On-demand door delivery engine

Local & Diaspora shopper → Targeted ad tracking → Multi-Currency gateway → Local bike courier → Recipient's door

Rural and elderly recipients cannot easily reach a flagship branch such as Borrowdale or Kamfinsa to collect heavy hampers.

Door-to-door fulfilment expands the addressable market to sponsors who want absolute confirmation that food arrived safely.

Multi-cart, multi-currency: the moat competitors can’t copy quickly

Multi-cart

One diaspora sender runs several carts at once — mother in Bulawayo, sister in Gweru, a school tuck order — each with its own recipient, address and delivery slot.

Multi-currency

Pay in GBP, USD, ZAR or EUR; settle in-country. FX is handled inside the platform, so the sender never touches a parallel-market rate.

Sender control

The payer chooses the goods, not the cash. Money lands as groceries at a door, with proof of delivery back to the sender.

Why it defends

Remittance apps move money and stop. Retailers sell locally and stop. Owning both sides of that handover is what nobody else in the market has assembled.

What the platform uniquely delivers

White-label solution

A customizable platform retailers brand as their own, with flexible commercial models — subscription or commission-based.

Time-to-market advantage

Leverage existing integrations (API, SIM switch, payments platform) to launch quickly and capture customers before competitors.

Robust and secure platform

A reliable, scalable and secure system compared to informal, unregulated channels.

Bank-agnostic integration

Participation across multiple banks, expanding reach and customer access.

Critical mass creation

Not just a platform — support in building user adoption through partnerships with banks and diaspora communities.

Hybrid commercial model

Transaction-based fees, subscription or discounts, allowing flexibility for different business strategies.

Adaptability to market dynamics

Analytics and intelligence to adjust pricing, packaging and delivery models as consumer behaviour shifts.

Direct-to-Consumer

Moving beyond brick-and-mortar retail into a direct relationship with the shopper.

A defensive moat against OK Zimbabwe & Choppies

Market leadership

While competitors stay focused on brick-and-mortar or basic localized delivery, TM PnP becomes the definitive door-to-door retail pipeline for the local and diaspora ecosystem.

Maximising group assets

Collection desks convert into high-volume dispatch stations, lifting stock turnover speed across all primary product lines.

Consolidating diaspora remittances and cross-border shopping into a US$61.2M pipeline

40,000
Active diaspora customers

1.5
Orders per month

US$85
Average basket size

12
Months

TOTAL GROSS BASKET SPEND (GMV)

US$61,200,000

40,000 customers × 1.5 orders × US$85 × 12 months — migrated from cash remittances and Malayitsha vans into a fully tracked, US$-settled retail pipeline.

Direct Ecosystem Capture: ~28% take-rate (US$17.15M in Phase 1)

Five stacked revenue streams

Captured Value: ~28% aggregate take-rate on US$61.2M GMV

1. Retail product margins

Spread captured on goods otherwise bought in South African cash-and-carries. 21% gross margin.

US$12,852,000

2. Last-mile delivery share

US$4.50 fee within 10km; the platform retains US$1.50 net per drop.

US$1,080,000

3. Cross-border surcharge

3% checkout fee on international cards originating outside Zimbabwe.

US$1,836,000

4. Diaspora Priority tiers

US$8.99/month for free delivery and recurring staple baskets. 15% adoption.

US$647,280

5. Retail media network

FMCG brands bid for sponsored placement in front of high-spend diaspora buyers.

US$734,400

PHASE 1 TOTAL ECOSYSTEM

US$17,149,680

Direct gross margin + platform fees captured on US$61.2M GMV

Projected total ecosystem annual revenue

US$17,149,680

Incremental retail margins — US$12,852,000
21% gross retail margin

Last-mile delivery share — US$1,080,000
US$1.50 net per drop

Cross-border tech surcharge — US$1,836,000
3% on international cards

Diaspora Priority subscriptions — US$647,280
6,000 subscribers @ US$8.99

Supplier-funded retail media — US$734,400
1.2% of platform GMV

The Distinction: GMV vs. Ecosystem Revenue

NUMBERS BREAKDOWN

The fundamental difference between total transaction flow (checkout spend) and net captured earnings.

TRANSACTION FLOW

Gross Merchandise Value (GMV)

US$61,200,000

TOTAL GROCERY BASKET SPEND THROUGHPUT

40,000 diaspora shoppers × 1.5 orders/mo × US$85 avg basket × 12 months. This is the total cash transacted at the checkout.

Represents migrated spend currently captured by South African cash-and-carries and informal Malayitsha vans.

DIRECT CAPTURE (~28%)

Phase 1 Ecosystem Revenue

US$17,149,680

DIRECT CAPTURED EARNINGS ON US$61.2M GMV

Direct value captured on that basket volume across 5 stacked streams:

- 21% Retail Margin (US$12.85M)
- 3% International Card Surcharge (US$1.84M)
- Last-Mile Delivery Share (US$1.08M)
- Retail Media Network (US$734k)
- Diaspora Priority Memberships (US$647k)

FULL PLATFORM STEADY STATE

Phase 2 Ecosystem Revenue

US$21,841,380

PHASE 1 CAPTURE + B2B/B2C SUBSCRIPTIONS

Phase 1 Retail Capture ($17.15M) + Phase 2 Recurring Subscription Layer ($4.69M):

- 240 Tenant Software Licences ($717k)
- 900 Scooter Rider Fleet Plans ($486k)
- 900 Fleet Garage & Maintenance Plans ($194k)
- 40 Market Data & Price Licences ($720k)
- 45,000 Shopper Memberships ($2.15M)
- 3,500 Tuck-Shop Trading Apps ($420k)

Aligning risk, capital and structure

Option 1

Independent Concierge (Reseller)

We operate as a standalone entity mirroring your catalog via API. Senders pay us in US$; we buy stock from TM PnP at a negotiated wholesale discount and fulfill with our own driver network.

Setup Fee

US$100,000

Commercial Split / Take

5–8% markup + 3–5% rebate

Option 2

White-Label Software Licensing

We build the cross-border storefront extension and license it to TM PnP. It integrates cleanly into tmpnponline.co.zw, natively branded, fulfilled by third-party Zimbabwean couriers.

Setup Fee

US$75,000

Commercial Split / Take

1.5–2% GMV revenue share

Commercial model comparison

Metric	Option 1 · Independent Concierge (Reseller)	Option 2 · White-Label Software Licensing
Upfront capital	US$100,000	US$75,000
Operational effort	Extremely high	Very low
Time to market	3–4 months	4–5 months
Primary revenue	Product markups	Licensing fees
TM PnP risk tier	Zero risk (Turnkey operator)	Technology buyer & owner

Building beyond the current platform

Three new components layer over the existing web framework.

Geo-fenced marketing core

Hyper-targeted social and digital advertising aimed at high-density Zimbabwean pockets — Hillbrow and Randburg in South Africa, London and Leeds in the UK.

API logistics middleware

A dispatch interface linking the TM PnP back-end to localized courier networks and on-demand e-bike fleets for route optimisation and proof of delivery.

Real-time substitution logic

An automated WhatsApp bot lets the sender or recipient approve alternatives instantly when an item goes out of stock during picking.

Benefits to TM Pick n Pay and the market

- **Faster market entry**
  Existing developer integrations accelerate rollout.
- **Customer convenience**
  Shift from brick-and-mortar to digital so diaspora and local customers buy easily from anywhere.
- **Expanded customer base**
  Access to diaspora markets and multiple banks' captured audiences.
- **Replacement of informal trading**
  A legitimate, tax-compliant alternative to informal, unreliable channels.
- **Cross-border resilience**
  A digital platform bypasses constraints on physical goods movement between countries.
- **Economies of scale**
  Better negotiated prices and smaller, affordable packages matched to consumer cash-flow realities.
- **Increased loyalty & retention**
  Secure, reliable delivery builds trust compared to informal traders.
- **Revenue diversification**
  Subscriptions, transaction fees or discounts, plus wholesale distribution partnerships.
- **Scalability**
  Expansion into regional markets with product packaging adapted to local needs.

A market intelligence driven model

Brick-and-mortar is no longer defensible

Footfall retail cannot hold share on its own. The defensible asset is the customer relationship, not the store estate.

Buyers are price-led, not brand-led

Households shop the cheapest basket available on the day. Informal channels are winning that comparison by default.

The Malayitsha channel is being constricted

One-stop border posts, electronic travel authority and tighter vehicle declarations are squeezing the informal cross-border van trade.

The opening left behind

Diaspora funding + bank rails + owned delivery + wholesale into the informal channel — a brand that lives in people's homes.

The end state is a trading platform, not a single-retailer app

Phase 1 · Entry

TM Pick n Pay value-add

Single-tenant. TM branded, TM catalogue, TM fulfilment. The platform earns its place inside one retailer before anything else is discussed.

Phase 2 · Depth

Wholesale and informal channel

TM supplies tuck shops and repackagers through the same rails. Volume grows without adding a competing banner to the storefront.

Phase 3 · End state

Retail-agnostic trading platform

Shopper asks for cooking oil; the request goes out to every participating supplier and the best price wins. Retailers become suppliers on a marketplace.

Multi-tenant has already been prototyped — three banners running in one app — then deliberately pulled back to a single tenant for the entry conversation.

Sequencing is the safeguard: introduce the platform as a TM advantage, without signalling that competitors sit on the same rails on day one.

Item-level price comparison is the reason to participate

Shopper request · “cooking oil”

Supplier A · 2L cooking oil Best price · 2.1km	**US$3.10**
Supplier B · 2L cooking oil Faster slot · 0.8km	**US$3.45**
Supplier C · 2L cooking oil Bundle offer	**US$3.60**
Tuck shop · 500ml repack Local fulfilment	**US$0.95**

Comparison across every participating supplier

One request fans out to all listed suppliers. The shopper sees price, distance and slot side by side and picks. Price competition, not shelf position, decides the sale.

AI ranking of most-tradable items

The engine ranks demand by item, area and week — a what-to-stock signal feeding order-to-cash: buy the

Bank-agnostic by design, multi-bank in practice

What we say to banks

Plug your remittance APIs into the platform and we bring transaction share-of-wallet: recurring diaspora flows landing as retail settlement rather than cash-out.

No exclusivity is requested and none is given. Every rail is one integration among several, so pricing stays competitive and no single institution gates the platform.

What we say to the retailer

Banks bring critical mass. Their diaspora bases are already captured audiences; the platform converts those balances into baskets inside your estate.

Institutions under discussion are prospects at this stage. Nothing is presented in-app as a confirmed partnership until an agreement is signed.

Design rule: no bank-specific logic in the core. Rails are adapters, so adding or dropping an institution is a configuration change, never a rebuild.

The last mile is owned, not outsourced

500–2,000

Platform-owned electric scooters

12 months

Rent-to-buy, then the rider owns it

~5 months

Asset pays itself back

~10%

Platform fee per dollar earned after ownership

Rent-to-buy

The rider operates for twelve months and then owns the scooter. The asset repays itself in roughly five months; months six to twelve are margin.

Advertising rights

Livery is sold on subscription: 80% reserved for the anchor retailer, 20% open inventory. A moving media network across every delivery route.

Own the garage

Repairs, parts and accessories stay inside the platform on a maintenance plan. Electric tricycles extend the fleet into rural routes, with women riders as the first cohort.

Trade US$100 a month for five months — earn the handset

Month 1	Month 2	Month 3	Month 4	Month 5
US$100 traded	US$100 traded	US$100 traded	US$100 traded	5G-lite smartphone awarded

Discovery-Vitality mechanics

Consecutive qualifying months unlock the reward. Behaviour is earned, not bought, and the tier resets if trading lapses.

Family basket sharing

Several household members contribute to one qualifying basket, so families reach the threshold faster and consolidate spend on the platform.

The real purpose

A ~US$50 landed handset with the markup absorbed migrates 2G and 3G users onto the platform. Device cost is customer acquisition, booked as such.

Tuck shops become distribution extensions, not competitors

Step 1

Aggregate

Local orders in a suburb are pooled in the app rather than fragmented across trips.

Step 2

Fulfil locally

The nearest tuck shop picks and hands over, cutting distance, fuel and delivery cost.

Step 3

Repackage

Bulk stock is broken into the 200g-type pack sizes the market actually buys.

Step 4

Supply

The retailer sells bulk into the channel as a wholesaler and keeps the volume.

Pack size is the unlock

Households buy 200g, not 2kg. The retailer sells bulk to the tuck shop, the tuck shop repackages to the price point the street can afford — the small-multipack playbook proven by packaged brands expanding regionally.

The government argument

Routing informal trade through the platform makes it visible: tax is captured, stock is traceable and counterfeit product is squeezed out. Legitimisation, not enforcement.

Anything that allows a subscription is the model. The rest is not sustainable.

Rider fees

Scooter rent-to-buy instalments, then a standing platform fee per dollar earned.

Advertising

Scooter livery, in-app placement and supplier media sold as monthly inventory.

Garage services

Servicing, parts and accessories on a maintenance plan, not a per-repair invoice.

Tenant fees

Each retailer, wholesaler and tuck shop pays a tiered monthly platform fee.

Shopper plans

Priority delivery and family basket sharing on a recurring plan.

Data products

Demand and price intelligence licensed by subscription to suppliers.

Every line above is bent toward recurring revenue: one-off fees fund a project, recurring fees fund a company.

The full ecosystem: US$21,841,380 a year

Built on US$61.2M Baseline GMV ($17.15M Phase 1) + US$4.69M B2B/B2C Recurring Services

PHASE 1 · MODELLED TODAY

Retail product margins 21% margin on migrated basket · Transactional	US$12,852,000
Last-mile delivery share US$1.50 net per drop · Transactional	US$1,080,000
Cross-border surcharge 3% on international cards · Transactional	US$1,836,000
Diaspora Priority plans 6,000 subscribers @ US$8.99 · Recurring	US$647,280
Retail media network 1.2% of platform GMV · Semi-recurring	US$734,400
Phase 1 Total ecosystem	**US$17,149,680**

PHASE 2 · SUBSCRIPTION LAYER

Tenant platform fees 240 retail / wholesale tenants @ US$249 pm	US$717,120
Rider plans 900 riders @ US$45 pm platform fee	US$486,000
Garage & maintenance plans 900 units @ US$18 pm service cover	US$194,400
Data & price intelligence 40 supplier licences @ US$1,500 pm	US$720,000
Shopper plans 45,000 households @ US$3.99 pm	US$2,154,600
Tuck-shop trading app 3,500 shops @ US$9.99 pm	US$419,580
Subscription subtotal	**US$4,691,700**

Combined annual ecosystem revenue at steady state — US$21,841,380

From transaction-led to subscription-led

LAUNCH · US$17.1M

Door-to-door on TMPNP stock

Retail margin, delivery share and the cross-border surcharge carry the model. One recurring line: Diaspora Priority at US$647,280 — 4% of revenue.

SCALE · +US$1.4M

Second and third retailers onboard

Tenant fees (US$717,120), rider plans (US$486,000) and garage cover (US$194,400) start billing monthly, whatever the basket does.

AGNOSTIC · US$21.8M

Marketplace of retailers and tuck shops

Shopper plans, tuck-shop apps and data licences add US$3.29M. Recurring revenue reaches US$5,338,980 — 24% of the ecosystem.

Same ecosystem, valued differently: transaction fees fund a project, recurring fees fund a company.

Hybrid commercial model, two-country structure

White-label

The storefront and app ship under the retailer's brand, licensed rather than sold.

Subscription

Tiered monthly platform fees per tenant, opening at a 100,000-participant tier.

Commission

A thin transaction share on GMV, sitting on top of the recurring base.

South African company

Holds the platform IP and raises capital where liquidity and investor access are deepest. Contracts with tenants and banks sit here.

Zimbabwean subsidiary

Runs logistics, the scooter fleet and local agreements on the ground, with local employment and local regulatory standing.

Directional as at 13 August — structure to be confirmed with tax and legal counsel before any binding term sheet.

Turn 74+ branches into a door-to-door fulfilment network

Recommended next step: select a commercial structure and mandate a 60-day pilot on two flagship Harare branches.